EQUITY RESEARCH · COMPANY DEEP DIVE

Mastercard Incorporated (MA.US)

Financial Services · Credit Services

Large Cap (>$200B) · Report Date: October 12, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-12

HOLD

Composite · Valuation: UNDERWEIGHT

Target $528.64 · -11.2% upside

Price $595.09

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target $528.64 (-11.2% vs $595.09); DCF 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- Moderate revenue expansion (14.1% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT $528.64	45%
FSA	Stable	Health +0.05 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	NEUTRAL	Score -0.05 · 12m +7%	15%
Composite	HOLD	Score -0.13 · 25% confluence	—

Valuation rich but trend improving — wait for confirmation.

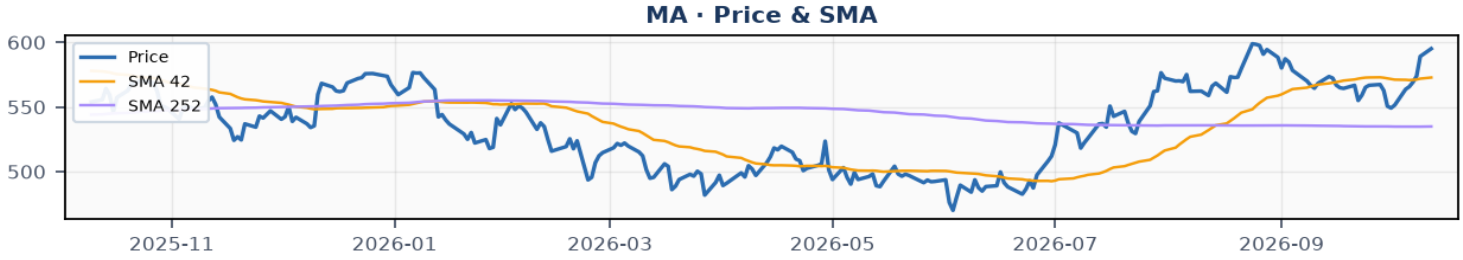
INVESTMENT THESIS / EXECUTIVE SUMMARY

Mastercard Incorporated (MA) — Financial Services. Mastercard Incorporated, a technology company, provides transaction processing and other payment-related products and services in the United States and... **UNDERWEIGHT** rating; blended target $528.64. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$521.30B	Shares Out.	869.5M
52-Week Range	$464.52 – $601.23	P/E (TTM)	32.7x
P/B	93.0x	Beta	0.76
Avg Volume	2.85M	Analyst Rec.	Strong Buy
Revenue (TTM)	$35.08B	Rev Growth	+14.1%
Op. Margin	61.1%	FCF (TTM)	$16.43B
Gross Margin	100.0%	ROE	2.4%
EV/EBITDA	23.8x	Debt/Equity	439.6%
EPS (TTM)	$18.18	Div Yield	59.0%

PRICE TREND · SMA 42 / 252



Page 2 of 2 · Mastercard Incorporated (MA) · Financials · Valuation · Peers · Q4 FY2025 · 2026-10-12

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	28,167	32,791	37,415	41,388	44,775
Revenue Growth (%)	N/A	16.4%	14.1%	10.6%	8.2%
Net Income ($M)	12,874	14,968	17,078	18,892	20,438
Gross Margin (%)	76.3%	77.9%	100.0%	100.0%	100.0%
Net Margin (%)	45.7%	45.6%	45.6%	45.6%	45.6%
EPS ($)	14.81	17.22	19.64	21.73	23.51
P/E (x)	40.19	34.57	30.30	27.39	25.32

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$572.78	Short-term trend	12m Momentum	+7.4%	
SMA (252d)	$534.93	Long-term trend	3m Momentum	+11.4%	
RSI (14d)	76.2	Momentum oscillator	Ann. Volatility	23.8%	
Trend	Bullish		Sharpe Ratio	0.35	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-28.3%	
Death Cross (20d)	No		Rel. Strength vs SPY	-12.1%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 76 — overbought zone	Quant Score	-0.05	NEUTRAL
			SMA Backtest (ann.)	12.8%	B&H; 21.2%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$493.78	-17.0%	80%	Included in blend
Comps — Blended	$297.57	-50.0%	0% (excluded)	Diverges below other methods (51% of median)
Analyst consensus	$668.07	+12.3%	20%	Included in blend
Blended target	$528.64	-11.2%	100%	DCF 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
8.18%	1.98%	12.00%	$429.33B	$493.78	-17.0%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AXP	American Express Compa	$210.38B	18.9x	N/A	16.1%	+12.8%
PYPL	PayPal Holdings, Inc.	$47.95B	10.6x	7.8x	14.4%	+4.8%
COF	Capital One Financial	$123.40B	12.9x	N/A	21.9%	+11.1%
DFS	DFS	N/A	N/A	N/A	N/A	N/A
MA*	Mastercard Incorporate	$521.30B	32.7x	23.8x	46.3%	+14.1%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (14.1% YoY); High operating leverage (61.1% margin); Defensive profile (β=0.76) · Risks: Elevated leverage (D/E: 440%) Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.